

Microsoft

Azure past \$100B and accelerating, Copilot seats doubling in two quarters · www.microsoft.com

1975

Founded

\$331.8B

FY2026 revenue

\$100B+

Azure annual revenue

30M

Copilot paid seats

\$678B

Commercial RPO

01 Overview

Azure crossed \$100B of annual revenue for the first time in FY2026 and accelerated to 43% growth in Q4 rather than plateauing. Microsoft 365 Copilot passed 30 million paid seats, doubling in two quarters, against a commercial base of roughly 464 million...

Offering: Azure cloud and AI infrastructure, Microsoft 365 and the Copilot family, Dynamics 365 for ERP and CRM, GitHub, Fabric for data, and the security portfolio. Nadella has stated Microsoft holds royalty-free frontier model IP rights through 2032.

Key facts

HQ: Redmond, Washington

Ownership: Public (NASDAQ: MSFT)

Revenue: \$331.8B in FY2026 (year ended 30 June 2026), up 18% (16% constant currency), with operating income of \$155.2B, up 21%, at a record 46.8% operating margin. Microsoft Cloud reached \$214B for the year, up 27%

Web: www.microsoft.com · [LinkedIn](#)

Key people: Satya Nadella (Chairman & Chief Executive Officer) · Amy Hood (Executive Vice President & Chief Financial Officer)

Digital twin: Via Azure Digital Twins · **GenAI:** Yes (Copilot, Azure AI)

02 Use Cases & Reported Metrics

Sector	Deployment	Reported impact	Source
Cloud & AI infrastructure	Azure and other cloud services, carrying enterprise AI workloads alongside core infrastructure, with workloads on infrastructure built two to three years ago now generating...	Azure surpassed \$100B in annual revenue for the first time, growing 41% for the year and accelerating to 43% in Q4;	Link
Individual productivity	Microsoft 365 Copilot embedded across Word, Excel, Teams and Outlook, sold as an add-on to existing commercial subscriptions, with a shift toward seats plus consumption pricing...	Passed 30 million paid seats in Q4 FY2026, up from roughly 20 million two quarters earlier	Link
Revenue visibility	Commercial remaining performance obligations — contracted revenue not yet recognised — tracked as the forward indicator for the capex programme.	\$678B at FY2026 close, up 84% year over year with weighted average duration of roughly 2.3 years;	Link

03 Competitive Landscape

Other vendors in this market: Amazon Web Services · Anthropic · Google · Meta · NVIDIA · OpenAI · Perplexity · xAI

Where it sits: Microsoft is the default enterprise AI route for most organisations because the commercial relationship already exists — Copilot lands inside an enterprise agreement rather than requiring a new vendor selection.

04 GIP & BlackRock Connections

GIP became a wholly-owned BlackRock subsidiary in October 2024 and now operates as BlackRock's dedicated infrastructure-investment arm. Stakes below are standard institutional/index-fund positions unless otherwise noted.

Entity	Possible connection
Global Infrastructure Partners	No publicly disclosed GIP relationship. Microsoft is near-certain to be present across multiple PortCos already through enterprise agreements, so the practical question is consolidated licensing terms rather than a first...
BlackRock	No publicly disclosed operating relationship; standard index holdings of MSFT only.

05 Sentiment

Customer: The Copilot seat data is the clearest read available and it is strong — doubling in two quarters is the fastest growth since launch. The honest counterpoint is that penetration remains around 6.5%, so more than nine in ten eligible users have not...

What supports the story

- Azure crossed \$100B annually and accelerated to 43% in Q4 — acceleration, not plateau, against a strong comparable
- Record 46.8% operating margin with operating income up 21% to \$155.2B while capex nearly doubled
- \$678B commercial RPO, up 84%; excluding OpenAI it still grew 25%, which dismantles the single-counterparty argument

What to pressure-test

- Free cash flow fell 23% while capex hit a record, with two thirds of that spend on assets Microsoft classifies as short-lived
- GAAP profit growth of 31% versus roughly 22% adjusted — the gap is a \$3.2B Anthropic investment gain, not operating performance
- From FY2027 Microsoft extends the useful life of data centres and office buildings from 15 to 25 years, which flatters future earnings

Employee: Not disclosed in the results reviewed. The one concrete signal is roughly \$900M of one-time voluntary retirement costs recorded in Q4 FY2026, which indicates a meaningful workforce reshaping...

Sources: Microsoft public filings/website, company fact sheets, Wikipedia, PitchBook/Crunchbase/Datanyze/BuiltIn profiles, Glassdoor employer reviews, vendor case studies and press releases as of Sept. 2026. Figures marked "est." or "not disclosed" are third-party estimates or unavailable — not company-confirmed — validate in diligence. Part of the Physical AI / Industrial AI for Critical Infrastructure market landscape.